

- Another key element of our Corporate Strategy drives us to Achieve Operational Excellence, and that means optimizing operations and lowering costs at every possibility. In 2011, our success in this area was significant. We eliminated some 18,000 part numbers and reduced our inventories by more than \$3 million. We likewise made meaningful strides in delivery performance in product lines and geographies around the world. And our efforts to optimize our global sourcing are on track to provide additional ongoing benefits, including greater security of supply.

As an expansion of MSA's flagship V-Gard® hard hat, MSA debuted a selection of V-Gard accessories in 2011, including face shields and visors, developed in response to customer needs.



- MSA's product innovation, the lifeblood of our company, was especially successful in 2011, with patent applications increasing 230 percent compared to our base year of 2009. Chief among these successes was the Altair® 5X series of portable multi-gas detectors with XCell® Sensors – our 2011 Product of the Year. Building even further on last year's breakthrough launch of the Altair 4X unit, the new Altair 5X Detector has increased sales by 48 percent over the previous generation Altair 5, while delivering greatly improved gross margins.
- Other product launches in a very busy year include:
 - The SUPREMA® Touch controller for fixed gas detection systems, built on a priority basis to successfully meet changing standards in China;
 - The PrimaX IR, a lower price point infrared fixed gas detection system designed especially for cost-conscious, but performance-demanding emerging markets;

- Our Workman Twin Leg Personal Fall Limiter, an innovation that provides continuous fall protection as workers at heights move from place to place; and
- An expansion of our flagship V-Gard® head protection line to include a selection of accessories such as winter liners, face shields and visors, and the industry's first "Debris Control" feature, developed in response to customer needs.
- We successfully divested our ballistic vest business, giving us greater resources and ability to further focus upon our Core Product areas.

- We raised our dividend to more than \$1 per share annually, the highest level in our history, providing our shareholders with a return of more than 3.1 percent as of the end of the year.
- We successfully upgraded our SAP system to the state-of-the-art ECC 6.0 platform. ECC 6.0 positions IT to support our increasing globalization and even further integration of our supply chains.
- Our largest North America distribution partner, Airgas, recognized MSA as their top-performing "Supplier of the Year" for excellence in customer support.
- The *Pittsburgh Post-Gazette* named MSA a "Top Workplace" in 2011, and our own internal metrics, measured around the world, identified a similar culture of improving employee engagement and satisfaction. For example, a survey sent to all MSA associates in 14 languages showed a 10 percent increase in favorable employee engagement levels since the last time we conducted the survey, a level higher than global manufacturing industry norms.



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MSA launched several new products in 2011, including, from left to right, the Workman Twin Leg Personal Fall Limiter, the Altair® 5X series of portable multi-gas detectors with XCell® Sensor technology, and the SUPREMA® Touch controller for fixed gas detection systems.